Risk-Return Spectrum

No return without bearing risk

PROFESSIONAL DEFINITION

The Risk-Return Spectrum expresses the foundational principle that higher expected returns require accepting higher risk, ordering asset classes along this trade-off.

WHO DEVELOPED IT

A foundational principle of finance, formalised through portfolio theory and the work of Markowitz, Sharpe and others.

WHY IT WAS DEVELOPED

It was developed to make explicit that return is compensation for bearing risk, disciplining expectations of 'risk-free' high returns.

FIGURE 1 · RISK-RETURN SPECTRUM

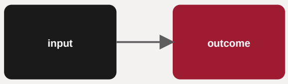

Figure 1. A schematic of the Risk-Return Spectrum as applied in BARBM312 (illustrative).

HOW IT IS USED

Investments are placed on the spectrum; choices are made consistent with the investor's risk tolerance and objectives.

WHEN IT IS USED

When setting investment strategy and evaluating AI-driven products promising high returns.

BY WHOM IT IS USED

Investors, advisers and analysts.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It anchors all investing in the risk-return trade-off, a discipline against AI-hype claims of high return without risk.

RELATED FRAMEWORKS IN THIS COURSE

Modern Portfolio Theory · Slibrary 21
Diversification Curve · Slibrary 21
Capital Asset Pricing Model · Slibrary 21
Black-Litterman Model · Slibrary 21

SOURCES (HARVARD REFERENCING STYLE)

Sharpe, W.F. (1964) 'Capital asset prices', The Journal of Finance, 19(3).
Bodie, Z., Kane, A. and Marcus, A.J. (2021) Investments. New York: McGraw-Hill.